



Working-age Council Tax Reduction Scheme 2026/27

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1. Introduction

Since the abolishment of Council Tax Benefit in April 2013, all council tax billing authorities are required to set up a scheme to help people in financial need pay their council tax. This document sets out Durham County Council's (DCC) Council Tax Reduction scheme for working-age applicants from 1 April 2026.

This Scheme does not and cannot make any changes to the other discounts and exemptions available in Council Tax. DCC will continue to comply with its statutory duty to award discounts and exemptions for those residents who qualify.

Although local authorities have the discretion to devise their own scheme for working-age applicants, the Government has decided that there are some aspects which must be followed in all working-age schemes. These can be found in the [Council Tax Reduction Schemes \(Prescribed Requirements\) \(England\) Regulations 2012](#). In the event of any dispute between the wording in this scheme and the prescribed requirements regulations, the latter will prevail.

2. Overview of the scheme

2.1 The adopted scheme for working-age applicants is an income banded scheme, which compares weekly income against a range of discounts. A working-age applicant is a person who:

- a) has not reached the qualifying age for State Pension Credit; or
- b) has reached the qualifying age for State Pension Credit but they, or their partner, are receiving an income-related benefit, such as Universal Credit.

2.2 To receive assistance from the scheme an applicant must:

- a) live in the property as their main home; and
- b) be liable to pay council tax; and
- c) meet the residence rules; and
- d) not have capital of £10,000 or more; and
- e) have made an application, or be treated as having made an application, for assistance from the scheme.

2.3 Entitlement to Council Tax Reduction is assessed on income, capital, and household composition. The percentage of discount awarded is determined by the applicant's weekly income, as assessed against the income bands set out below.

Household weekly income	% discount awarded
£0.00 - £69.99	90%
£70.00 - £125.00	75%
£125.01 – 200.00	50%
£200.01 - £275.00	25%
£275.01 or more	0%

2.4 Any household awarded, or currently receiving, a 90% discount will automatically qualify for 100% support for up to 12 months if a member of the household has been diagnosed with a terminal illness. To qualify, an SR1 form (Special Rules 1), confirming the terminal illness must be provided. Support applies to any household member living in the property where Council Tax is payable.

2.5 To maximise support for low-income households, all Department for Work and Pensions (DWP) benefits and income are disregarded in the calculation for Council Tax Reduction. Fostering Allowance, Adoption allowance and maintenance paid for children is also ignored. For a full list of disregarded benefits and income see Annex 1. The following types of income are also ignored:

- a) The first £25 of any earned income.
- b) Fostering Allowance.
- c) Adoption Allowance.
- d) Maintenance payments for children.
- e) Any payments made to the applicant from a trust in consequence of a personal injury.
- f) Charitable payments.
- g) Payments from the Energy Rebate Scheme 2022.
- h) Payments from the Homes for Ukraine scheme.

3. Calculation of income for Applicants not in receipt of Universal Credit

3.1 Income is calculated on a weekly basis and includes earned and unearned income, this includes net earnings from employment after deductions have been made for income tax, national insurance contributions and 100% of any contribution made to an occupational and/or personal pension scheme. Any income received from an occupational and/or private pension is counted in full.

3.2 The definition of earnings includes:

- a) any bonus or commission.
- b) payments to compensate for loss of earnings but not redundancy payments.
- c) payments in lieu of notice or payments intended as compensation for loss of employment.

- d) holiday pay but not if it is paid more than 4 weeks after employment ends.
- e) payments made for a period when no actual work has been carried out, for example a retainer.
- f) any expenses which are not 'wholly, exclusively and necessarily incurred' in connection with employment such as travelling expenses between home and work.
- g) compensation for unfair dismissal from work and any other payment made under employment rights legislation.
- h) any statutory sick pay, maternity pay, paternity pay, adoption pay, and statutory parental bereavement pay.
- i) payments made by or on behalf of an employer to an applicant who is on maternity or paternity leave, adoption leave or is absent from work because of illness.
- j) non-cash vouchers which have been counted when calculating liability to pay National Insurance contributions.

3.3 Income is assessed on a weekly basis. To convert different payment frequencies into a weekly payment, the following rules apply:

- Monthly payments: multiply by 12 and divide by 52
- Three-monthly (quarterly) payments: multiply by 4 and divide by 52
- Annual payments: divide by 52
- All other payments frequencies: convert the payment into a daily amount, then multiply by 7 to obtain the weekly figures.

3.4 Any income received from the War Pension Scheme or the Armed Forces Compensation Scheme that is attributable to military service is fully disregarded when calculating entitlement to Council Tax Reduction.

3.5 Where applicable, and subject to all relevant conditions being met, the Council will disregard eligible childcare costs when calculating Council Tax Reduction. This disregard can be up to £175 per week for one child or £300 per week for two or more children, in accordance with national childcare disregard guidelines.

3.6 Earnings are taken into account from the date of application, even if they were not actually received during the week in which the application was made. Where an applicant starts work after submitting an application, their earnings are taken into account from the first week after they begin work,

regardless of whether payment is actually received in that week. The same approach applies when an applicant's earnings change: the revised earnings are taken into account from the first week after the change occurs, even if the new earnings are not received until a later date.

- 3.7 Where an applicant reports a change in their income that does not change their entitlement to Council Tax Reduction, because they remain in the same income band, the Council will not issue a notification confirming entitlement is unchanged.

4. Calculation of income for Applicants in receipt of Universal Credit

- 4.1 For applicants receiving Universal Credit, entitlement to Council Tax Reduction is assessed using the Universal Credit award provided by the DWP, including any earned income taken into account in the UC calculation. Any unearned income that has already been considered by the DWP for the purposes of reducing the UC award will not be counted again when calculating Council Tax Reduction. If the Council considers that the information provided through Universal Credit is inaccurate, for any reason, including suspected or confirmed fraud, the Council may instead use its own verified income figures to assess entitlement.
- 4.2 Where a Universal Credit award includes earnings and other income, the amount of earnings relating to the relevant UC assessment period is used in the Council Tax Reduction calculation. If an applicant ceases to be entitled to Universal Credit because their earnings increase, the amount of earnings used in the final relevant UC assessment period will be included when calculating their Council Tax Reduction entitlement.
- 4.3 It is the responsibility of the applicant to inform both the Council and the Department for Work and Pensions of any change in circumstances that may affect their entitlement to Council Tax Reduction or Universal Credit.

5. Earnings from self-employment

- 5.1 An applicant is considered self-employed if they are gainfully working but not as an employed earner. Self-employed applicants, whether they receive Universal Credit or not, are treated as having a set level of income called the Minimum Income Floor (MIF).
- 5.2 The Minimum Income Floor (MIF) is an assumed level of earned income applied to self-employed people who report very low or no earnings, and who have been self-employed for at least 12 months. For applicants receiving Universal Credit, the MIF is already included in the earnings figure

provided by DWP and used by the Council. For applicants who are not receiving Universal Credit, the assumed income is calculated using the net National Living Wage multiplied by the number of the hours they work, or a minimum of 35 hours per week, unless the applicant qualifies for an exemption. For full details on how self-employed income is treated, see Annex 3.

6. Treatment of capital

- 6.1 If an applicant has capital of £10,000 or more, they will not be eligible for a discount under this scheme.
- 6.2 All capital is taken into account when calculating an award, including income treated as capital, unless it is listed in Annex 2, in which case it is disregarded. The capital belonging to a child or a young person who is part of the applicant's family is ignored. The capital of an applicant's partner is treated as if it were the applicant's own.
- 6.3 Where an applicant is in receipt of Universal Credit, the Council will rely on the savings and capital information held within the Universal Credit assessment when determining the applicant's level of savings and capital for the purposes of this scheme. If an applicant believes that the savings or capital recorded on their Universal Credit claim is inaccurate, they are responsible for reporting the correct information directly to the Department for Work and Pensions. Any adjustments must be made by Universal Credit so that updated information can be reflected in the data shared with the Council.
- 6.4 Some types of income are treated as capital, and some types of capital are treated as income, depending on the circumstances. Further details are provided in Annex 2.

7. Notional Capital

- 7.1 If an applicant deliberately disposes of capital in order to obtain council tax reduction, it will be assumed that they still possess that capital, and it will be taken into account. This 'notional capital' is reduced over time by the amount of council tax reduction the applicant would have received if they had not been treated as still having that capital. With certain exceptions, if an applicant does not realise capital that they own, that capital will still be taken into account. In most cases, payments of capital made to a third party on the applicant's behalf are also treated as capital.

8. Calculation of capital

- 8.1 Capital which an applicant possesses in the United Kingdom is calculated at its current market or surrender value less:

- a) 10% if there are expenses attributable to its sale, and
- b) The amount of any monetary claim secured against it.

8.2 Capital which an applicant possesses outside of the United Kingdom is treated in the same way except that it is calculated:

- a) At its current market or surrender value in that country if it can be transferred to the United Kingdom; or
- b) If it cannot be transferred to the United Kingdom, at a price which it would realise if it were sold in the United Kingdom to a willing buyer, less:
 - i. 10% for sales costs, if appropriate, and
 - ii. The amount any monetary claim secured against it.

8.3 Where an applicant owns capital jointly with one or more persons, each share is treated as equal unless there is evidence to the contrary.

8.4 The capital of an applicant, will be treated as if it were a weekly income of:

- a) £1 for each £250 in excess of £6,000 but not £10,000 or more.
- b) £1 for any excess which is not a complete £250.

9. Calculation of Council Tax Reduction

9.1 Council Tax is calculated on a daily basis. For any day for which a working-age applicant is liable to pay Council Tax, the maximum amount of council tax reduction is determined by first applying any relevant discounts or exemptions to the account and then calculating the daily liability.

9.2 When calculating the amount of council tax reduction, fractions of less than half a penny are rounded down, and fractions of half a penny or more are rounded up.

9.3 Where an applicant is jointly liable for Council Tax with other residents at the same dwelling, the Council Tax set by the authority, after any discounts have been applied, is divided by the number of people who are jointly liable. The applicant's Council Tax Reduction is then calculated based on their share of liability. This rule does not apply to a student who is excluded from entitlement to Council Tax Reduction, or to the applicant's partner. A 'student' is defined in line with the Council Tax liability regulations.

10. Non-dependant deductions

10.1 A non-dependant is a person who lives as part of the applicant's household but is not their partner or a child/young person for whom they are responsible. Certain people, such as joint occupiers, boarders, and paid carers, are not treated as non-dependants. Non-dependants aged 18 or over are generally expected to contribute towards household expenses, including Council Tax.

10.2 Within this scheme, a deduction of £10.00 per week is applied for each non-dependant aged 18 or over, unless they are exempt. For non-dependant couples, a £10.00 deduction is applied to each person, depending on their income.

10.3 Where there is joint liability for council tax in a household, other than joint liability between a couple, and a non-dependant is a non-dependant of two or more of the liable persons, the deduction is normally divided equally between those liable persons. However, local authority will decide which liable person is responsible for the non-dependant, and the full deduction will then be applied to that individual only.

10.4 No non-dependant deduction will be applied if the applicant or their partner:

- a) is severely sight-impaired or blind.
- b) is receiving any rate of the daily living component of Personal Independence Payment or Adult Disability Payment.
- c) is receiving the middle or high rate of the care component of Disability Living Allowance or any rate of Attendance Allowance.
- d) is receiving an Armed Forces Independence Payment.

10.5 No non-dependant deduction will be applied where the non-dependant:

- a) is aged under 18.
- b) is disregarded or exempt for Council Tax purposes.
- c) although he resides with the applicant, it appears to the authority that his normal home is elsewhere i.e. is a prisoner; or
- d) is a student.

11. Temporary Absences

11.1 An applicant can still be regarded as living in their home and therefore remain eligible for Council tax Reduction even if they are temporarily absent for certain periods. Council Tax Reduction continues to

be payable during a period of temporary absence, provided the applicant remains liable for Council Tax, the property they are absent from is their sole or main residence, and they intend to return.

11.2 For absences outside Great Britain, the scheme follows the Universal Credit rules. This means the absence must not last longer than one month or be expected to last more than one month. Certain exceptions apply, as set out in [Regulation 11 of the Universal Credit Regulations 2013](#).

12. People treated as not in Great Britain

12.1 Council Tax Reduction is only payable to applicants who are living in Great Britain. In some circumstances, a person may be treated as not being in Great Britain and will therefore be excluded from the scheme. This applies where they do not meet the habitual residence test or where they are subject to immigration control.

12.2 The habitual residence test has two parts. First, an applicant must show that they are habitually resident—that is, they intend to settle and make their home in the UK, Channel Islands, Isle of Man, or the Republic of Ireland. Second, EEA nationals (people from EU countries together with Norway, Iceland, Switzerland, and Liechtenstein) must also have a legal right to live in the UK and to claim benefits. This is known as having a ‘right to reside’ under the residence rules. These rules are satisfied if the applicant is, for example:

- a) a worker or is self-employed person under the EEA regulations.
- b) a family member of such a worker or self-employed person.
- c) a worker who has ceased activity, for example because of retirement or incapacity, or a family member of such a worker.
- d) a family member of a deceased worker.
- e) a refugee.
- f) receiving an income related benefit i.e. Universal Credit.

12.3 There are circumstances in which EEA nationals may have been granted leave to enter or remain in the United Kingdom but still do not satisfy the habitual residence test for the purposes of Council Tax Reduction. An EEA national who is a jobseeker is not treated as having the right to reside for Council Tax Reduction purposes solely on the basis of being a jobseeker. With some exceptions in respect of Northern Ireland, EEA nationals who are granted leave to enter or remain in the UK only as a result of meeting the special immigration rules established for EEA citizens after the UK’s withdrawal from the EU (the EU Settlement Scheme) do not satisfy the habitual residence test simply by virtue of holding that status.

12.4 British citizens returning to the UK after a period of living or working abroad have a right to reside in the UK. However, they must still demonstrate that they are habitually resident in the UK to qualify for Council Tax Reduction.

12.5 An applicant who has entered the UK from Afghanistan is treated as habitually resident in the UK if they:

- a) have been granted leave to remain under the Afghan Relocations and Assistance Policy, the Afghan Citizens Resettlement Scheme, or the previous scheme for locally employed staff in Afghanistan; or
- b) left Afghanistan in connection with the collapse of the Afghan government on 15 August 2021.

12.6 An applicant who has entered the UK from Ukraine is treated as habitually resident in the UK if they:

- a) were living in Ukraine immediately before 1 January 2022 and left Ukraine in connection with the Russian invasion on 24th February 2022; and
- b) have been granted leave to enter or remain in accordance with the immigration rules; or
- c) have a right of abode in the United Kingdom because they are British or, in some cases, Commonwealth citizens, or
- d) do not require leave to enter or remain because they are Irish citizens.

12.7 An applicant who has entered the UK from Israel, the West Bank, the Gaza Strip, East Jerusalem, the Golan Heights, or Lebanon is treated as habitually resident in the UK if they:

- a) were living in any of these areas immediately before 7 October 2023 and left in connection with the Hamas attack in Israel on 7 October 2023 or the subsequent escalation of violence in the region; and
- b) have been granted leave to enter or remain in accordance with the immigration rules; or
- c) have a right of abode in the United Kingdom because they are British, or in some cases, Commonwealth citizens, or
- d) do not require leave to enter or remain because they are Irish citizens.

12.8 An applicant who has entered the UK from Sudan is treated as habitually resident if they:

- a) were living in Sudan before 15th April 2023 and left in connection with the violence on 15th April 2023 in Khartoum, and across Sudan

- b) have been granted leave to enter or remain in accordance with the immigration rules; or
- c) have a right of abode in the United Kingdom because they are British or in some cases Commonwealth citizens, or do not require leave to enter or remain because they are Irish citizens.

12.9 An applicant is also treated as habitually resident if they have been granted, or are deemed to have been granted, leave outside Immigration Rules made under section 3(2) of the Immigration Act 1971.

12.10 Non-EEA and non-UK nationals may be subject to immigration control, and applicants who are subject to immigration control are excluded from receiving Council Tax Reduction. This applies, for example, where an applicant:

- a) requires permission to enter or remain in the UK but does not yet have permission.
- b) has permission to enter or remain in the UK, but only on the condition they do not claim benefits or use public funds.
- c) has been given permission to enter or remain in the UK because another person has formally agreed to support them.

13. Students

13.1 A property that is wholly occupied by full-time students, for example a hall of residence, is exempt from Council Tax. Most students are not eligible for council tax reduction; however, some students who are liable for Council Tax can receive support in specific circumstances. See Annex 3 for a full account, including how student income is treated.

14. Effective dates

14.1 An applicant's entitlement to Council Tax Reduction normally begins from the start of the reduction week (Monday to Sunday) following the date of their application. However, if an applicant becomes liable for Council Tax for the first time in respect of a property they occupy, and they qualify for Council Tax Reduction, their entitlement begins from the first day that they are legally liable to pay Council Tax, provided they apply within one month of that reduction week.

14.2 Where the person is receiving Universal Credit, their claim for a reduction under this scheme is treated as having been made on the first day of their Universal Credit assessment period, and the reduction is awarded from the following Monday.

14.3 Where, following the death of a partner who was receiving council tax reduction up to the date of their death, an applicant, their partner, or a non-dependant who was living in the deceased person's household applies for Council Tax Reduction within three months of the date of death, entitlement begins from the date of death.

14.4 Changes in circumstances take effect from the Monday following the date the change occurs, except in the following cases:

- a) where entitlement to a benefit (excluding Universal Credit) ceases, the change takes effect from the Monday of the reduction week following the day after the benefit ends.
- b) For applicants receiving Universal Credit, where entitlement to Universal Credit starts or ends, or where there is a change in the Universal Credit award, the change takes effect from the Monday following the start of the Universal Credit assessment period in which the change occurs.
- c) A change in the amount of council tax payable takes effect from the date the change occurs.
- d) A change in the amount a person is liable to pay by way of Council Tax (for example a change to a discount) also takes effect from the date of change.
- e) If the change relates to an applicant gaining a partner, or a partner dying, or the applicant separating from their partner, the change takes effect from the date of the change.
- f) If an applicant reports a required change of circumstances within one month of it occurring, or within 13 months where good cause is shown, and the change is advantageous, the change will take effect from the date it occurred, with the date of notification treated as the date of change.

14.5 Where two or more changes occur in the same week, and at least one of those changes is treated as taking effect from the date of change (in accordance with the above), all of the changes are treated as taking effect from the date of change or where there are multiple such changes, from the earliest date of change.

15. Application procedure

15.1 Only one person in a couple can apply for Council Tax Reduction for the same dwelling. If the partners cannot agree who should make the application, the Council will decide on their behalf.

15.2 Where a person who is liable to pay council tax is unable to act for themselves, and someone has been formally appointed to act on their behalf (for example, an attorney), the appointed person may make an application for Council Tax Reduction on their behalf. If there is no one available to act for

the applicant, the Council may appoint someone to do so. An appointee must be aged 18 or over and must apply for the appointment in writing or online. The Council may also accept as an appointee a person already appointed by the Department for Work and Pensions to act in relation to a social security benefit. The Council may revoke an appointment at any time, and an appointee may resign by giving four weeks' notice. If another person is later authorised to act on the applicant's behalf (for example, as an attorney) the previous appointment ends. The appointee must take full responsibility for all aspects of the application. The Council will ensure the appointee is made fully aware of their duties, including the consequences of failing to comply with them.

15.3 An application may be made:

- a) online, or
- b) by telephone, although the applicant will subsequently be required to provide a signed statement and any supporting documentation needed for the application.

15.4 If an applicant has difficulty completing an online form, the Council can make alternative arrangements to assist them.

15.5 An application must be made by using the Council's online application form. Where an application is not properly completed, the Council may ask the applicant to complete the form correctly.

15.6 An applicant may amend or withdraw an application, whether in writing, by telephone or electronic communication at any time before a decision has been made.

15.7 If an application is submitted online and the Council considers that not all the required information has been provided, the Council will give the applicant the opportunity to supply the missing information.

15.8 The date of application is normally the date the Council receives the application, or the date the applicant first notifies the Council of their intention to apply, provided a properly completed application is submitted within one month. There are some exceptions to this rule:

- a) If an applicant has been awarded Universal Credit, and the Council receives the Council Tax Reduction application within one month of the Universal Credit claim, the date of application is the first day of entitlement to Universal Credit.

- b) Where an applicant (whether receiving Universal Credit or not) becomes liable for Council Tax for the first time, and the Council receives the Council Tax Reduction application within one month of becoming liable, the date of application is the date on which Council Tax liability begins.
- c) Where a person's Council Tax banding notification is delayed when moving into a new property, and the application is made within one month of receiving the banding notification, the date of application is treated as the date on which Council Tax liability begins.
- d) Where a couple's relationship ends, either due to separation or the death of one partner and the former partner was entitled to Council Tax Reduction, and the application is made within three months of the death or separation, the date of application is the date of death or separation.
- e) Where an application is not properly completed but is corrected within one month (or longer if the Council considers reasonable), the date of application is the date of first contact. If the incomplete application is not corrected within that period, the date of application becomes the date on which sufficient information is received to make a decision.
- f) If an applicant or their partner is receiving Universal Credit when they become liable for Council Tax for the first time, and the Council receives the Council Tax Reduction application within one month of liability beginning, the date of application is the date on which Council Tax liability begins.
- g) Where an applicant or their partner has claimed Universal Credit and the award is received within one month of the intention to claim notification, the Council Tax Reduction application is treated as made on the first day of the Universal Credit assessment period.
- h) Where an applicant or their partner becomes liable for Council Tax after the fact and therefore could not have claimed Council Tax Reduction earlier, and the Council Tax Reduction application is received within one month (or longer if reasonable) of the notification of liability, or the application was made before the liability was created, the date of application is the date on which Council Tax liability begins.
- i) If the original applicant is no longer liable (e.g. student disregard) and liability transfers to another adult in the household, the date of application is the Sunday before the date the previous applicant ceased to be liable, or the start of the new applicant's liability, whichever is later.

16. Backdating an award

16.1 Where an applicant makes an application under this scheme that includes (or that they later request should include) a period before the application is made, and from a day within that period up to the date of the application (or later request to include a past period), the application is treated as having been made on a determined date. That date is the latest of the following:

- a) the first day from which the applicant had continuous good cause.
- b) the day 12 months before the date on which the application was made.
- c) the day 12 months before the date on which the applicant requested that the application should include a past period.

17. Advance applications

17.1 An applicant may apply up to 8 weeks in advance if they reasonably expect to become liable to pay Council Tax within that period. Where an application is made in advance, the claim will be treated as made on the date the Council Tax liability begins.

17.2 Except where an applicant is treated as not being in Great Britain, the Council may treat an advance application for Council Tax Reduction as being made in the reduction week immediately before the first week in which the applicant becomes entitled. This applies where an applicant is not entitled to Council Tax Reduction in the week following the date they actually apply, and the Council considers that the applicant will become entitled within the next 13 weeks, unless their circumstances change.

18. Evidence and information

18.1 Where appropriate, the Council may accept evidence submitted online or provided by telephone to support an application for Council Tax Reduction. The Council will determine the suitability of the evidence based on the nature of the information required and any verification standards that apply.

18.2 Applicants for Council Tax Reduction must provide their National Insurance number, and where relevant the National Insurance numbers of any persons included in the application. If a National Insurance number has not yet been issued, the applicant must provide evidence that they have applied for one. This requirement does not apply to:

- a) Children or young people.
- b) Person's from abroad who are not required to hold a National Insurance number.
- c) Person's subject to immigration control.

18.3 Applicants for Council Tax Reduction must provide any evidence that the Council considers reasonable and necessary to support their application. This evidence must be supplied within one month of the applicant being informed of this requirement, or within a longer period where the Council considers it appropriate to allow more time. The Council will inform the applicant of their duty to report any change of circumstances that might affect their entitlement. If requested, the Council will also clarify which specific changes must be reported.

18.4 Before the Council has made a decision on a Council Tax Reduction application, the applicant may amend or withdraw their application at any time either in writing, by electronic communication (including online forms or email) or by telephone. The Council will update or close the application accordingly.

18.5 An applicant, or a person acting on their behalf, must report changes in circumstances that may affect their entitlement to Council Tax Reduction. This duty applies:

- a) Before the Council has made a decision on the application, and
- b) After an award of Council Tax has been made.

Changes must be reported within one calendar month of the date the changes occurs, or as soon as reasonably practicable thereafter. Notifications may be made in writing, by telephone or online. Applicants are expected to report changes that they could reasonably be expected to know might affect their entitlement. The following types of change do not need to be reported:

- a) Changes in the amount of council tax payable to the council.
- b) Changes in age of the applicant, household members, or non-dependants except where someone ceases to be a child or young person.
- c) Changes affecting the amount of Universal Credit where the change does not affect Council Tax Reduction, except where entitlement to UC ends, in which case notification is required.

19. Decisions and awards

19.1 Once the Council is satisfied that an application for council tax reduction has been properly completed and all the required evidence and information have been provided, the Council will make a decision on entitlement within 14 days, or as soon as reasonably practicable thereafter.

19.2 Once the Council has made a decision on an application for Council Tax Reduction, it will notify the applicant, or any person acting appointed to act on their behalf, immediately or as soon as reasonably practicable. For any other decision relating to Council Tax Reduction, the Council will notify the applicant within 14 days or as soon as reasonably practicable thereafter. Notification of a decision on an application is normally issued in the form of a revised Council Tax bill, which will include:

- a) A reminder of the applicant's duty to report changes in circumstances, and an explanation of the possible consequences of failing to do so.

- b) Examples of changes that may affect entitlement to Council Tax Reduction or the amount awarded.
- c) Information explaining the effect of the decision on the applicant's Council Tax liability.
- d) Information about the appeal procedures, including how to request a review or challenge the decision.

20. Use of information

20.1 Where lawful, the Council will use information provided by the Department for Work and Pensions (DWP) and His Majesty's Revenues and Customs (HMRC) to calculate entitlement to Council Tax Reduction. The Council will also share information with these departments when required to do so by law.

20.2 The Council may receive, obtain, verify, record, and store information relating to applications for Council Tax Reduction, from the following sources:

- a) The applicant.
- b) Other persons who provide information relevant to the application.
- c) Other local authorities.
- d) Central government departments.

20.3 The Council may share information relating to Council Tax Reduction applications with any Council officer or other individuals or organisations authorised to act on behalf of the Council for the purpose of processing, verifying, or administering applications. Such information sharing will only occur where it is lawful and necessary for the effective administration of Council Tax Reduction.

21. Reviews and Appeals

21.1 If an applicant is dissatisfied with the Council's decision regarding their entitlement to Council Tax Reduction, or the amount awarded, they may write to the Council, including by email, explaining the reasons for their dissatisfaction. The Council will review the matter and respond in writing, usually by email, advising either:

- a) That no revision will be made, including the reasons for that decision; or
- b) That action has been taken to the address the applicant's concerns.

If the applicant remains dissatisfied after receiving the Council's response, or the Council does not respond within two months, the applicant may submit an appeal to the Valuation Tribunal.

22. Discretionary awards

22.1 The Council may use its discretion to reduce a person's Council Tax liability where they are experiencing exceptional hardship. This discretionary reduction may be awarded regardless of whether the applicant has applied for, or is entitled to, Council Tax Reduction under the main scheme described in this document.

22.2 Applications for a discretionary reduction on the grounds of exceptional hardship may be made using the Council's online application form. Any additional documentation required to support the application must be provided within 14 days of the date on which the Council first requests it unless a longer period is allowed at the Council's discretion.

23. Electronic communication

23.1 The Council may use electronic communication, such as computer networks, online platforms, or mobile devices, for the administration of Council Tax Reduction. The Council may also receive electronic communications, including online applications, subject to the following conditions:

- a) Authorisation: Electronic communication must be explicitly authorised by the Council's Chief Executive.
- b) Authentication: An approved method of authentication must be in place to verify the identity of the sender.
- c) Approved forms: Only Council-approved electronic forms may be used.
- d) Record-Keeping: Records must be maintained in the manner specified by the Chief Executive.

23.2 An application for Council Tax Reduction that is not submitted using an approved method will be treated as invalid. The Council may authorise another person or organisation to act as an intermediary for the electronic delivery and authentication of information relating to Council Tax Reduction applications. Any such intermediary must operate in accordance with the Council's approved procedures and security requirements.

23.3 Where the conditions for electronic communication are met, any information delivered electronically will be treated in the same manner as information delivered by any other method permitted under the Council's scheme. Information delivered electronically is not regarded as received until it has been accepted the Council's official computer system. If it becomes necessary, for legal purposes, to prove the identity of the sender or recipient of information sent electronically, the identity will be presumed to be that recorded on the Council's official computer system. If it is necessary to prove that information sent electronically has been delivered to the Council, it is treated

as received if it is recorded on the official computer system. Similarly, if it must be proven that the information was delivered to the Council, it will be treated as received only if it is recorded on the official computer system, if the information is not recorded on the system, it will be treated as not received. The time, date, and contents of any electronic communication will be presumed to be as recorded on the Council's official computer system.

Annex 1 – DWP disregarded benefits and income

To maximise support for low-income households, all Department of Work and Pensions (DWP) benefits and associated income are fully disregarded when calculating entitlement to Council Tax Reduction under this scheme. This includes, but is not limited to, the following:

- a) New Style Employment & Support Allowance (ESA)
- b) New Style Jobseekers Allowance (JSA)
- c) Universal Credit
- d) Attendance Allowance
- e) Disability Living Allowance (DLA) (including awards paid to children)
- f) Personal Independence Payment (PIP)
- g) Carer's Allowance
- h) Child Benefit
- i) Guardian's Allowance
- j) Maternity Allowance
- k) Industrial Injuries Benefits, including Disablement Allowance and Reduced Earnings Allowance
- l) Bereavement Support Payment
- m) Fostering Allowance
- n) Adoption Allowance

Annex 2 - Capital

The following types of income are treated as capital for the purposes of calculating Council Tax Reduction:

- a) Occasional bonus payments made to part-time coastguards, auxiliary fire-fighters, and lifeboat crew.
- b) Refunds of income tax deducted from profits or earnings chargeable to income tax under Schedule D or E.
- c) Holiday pay paid more than 4 weeks after employment has ended.
- d) Income derived from capital but only from the date it is due to be credited to the applicant's account.
- e) Advances of earnings or employer loans.
- f) Charitable or voluntary payments that are not made at regular intervals, except certain specified trust fund payments. for payments made by certain specified trust funds.
- g) Gross receipts from any commercial activity of a self-employed applicant, but only where such receipts are payable into a special account.
- h) Lump-sum arrears of subsistence allowance.
- i) Payments made from an approved trust supporting disabled people affected by Thalidomide.

The following types of capital are treated as income:

- a) Capital paid by instalments outstanding at the date the application is, or is treated, as made, where the total capital including these instalments would exceed the capital limit.
- b) Payments received under an annuity.
- c) Career Development Loan paid under section 2 of the Employment and Training Act 1973.
- d) Periodic payments received due personal injury.

The following capital is ignored:

(Does not apply to applicant's receiving Universal Credit.)

Property

The following types of property are ignored:

- a) The dwelling normally occupied by the applicant as their home including garden, garage, and outbuildings.
- b) Property lived in by a partner, relative or family member who is state pension age or incapacitated.

- c) A home occupied by a former partner unless the applicant is estranged/divorced or a dissolved civil partnership partner.
- d) Premises that the applicant acquires, or is taking legal advice or proceedings to possess, and intends to occupy as their home within 26 weeks from the date of acquisition, or from the date on which they took legal advice or proceedings, or within a longer period if the Council considers reasonable.
- e) Any sum solely attributable to the sale of premises formerly occupied by the applicant as their home which is to be used for the purchase of other premises that they intend to occupy as their home within 26 weeks of the sale, or a longer period if the Council considers reasonable and necessary to secure the purchase.
- f) The applicant's former home which they left following estrangement, divorce, or dissolution of a civil partnership for a period of 26 weeks from the date on which the applicant left the home. Where the applicant's former home is occupied by the former partner who is a lone parent, the value of the home is ignored so long as the former partner continues to occupy the home.
- g) For 26 weeks or longer if reasonable, the value of any premises which the applicant is taking reasonable steps either to dispose of, or to obtain possession of, or which they intend to occupy after essential repairs or alterations.
- h) For 26 weeks or longer if reasonable, any grant made by a local authority in order to help purchase premises that an applicant intends to occupy as their home or for essential repairs or alterations to be carried out and make fit for occupation.
- i) Deposits held by a housing association, and (for 26 weeks or a longer period if the Council considers reasonable) deposits that were so held and earmarked for buying a home.
- j) For a period of 52 weeks, any sum of money paid to, or on behalf of, the applicant for the sole purpose of Buying a property which they intend to occupy as their home, or to meet the cost of essential repairs or alterations to that home; any future interest in property (for example where a person has been left property for life that the applicant is due to inherit on their death) but not where the applicant has granted a lease or tenancy including sub-leases or sub-tenancies
- k) Payments for repair to, or replacement of, personal possessions, repairs, or improvements to the home, for a period of 26 weeks or a longer period if the Council considers it reasonable.
- l) For a period of 52 weeks, payments under an insurance policy for the loss or damage to the property, occupied by the applicant as their home, and their personal possessions.

- m) The business assets owned wholly or partly by the applicant while working for the business, but where they cease working, the value of the business assets is ignored only for a period in which the Council decides is reasonable to allow for the disposal of such assets.
- n) The business assets owned wholly or in part by the applicant where they would be working but for an illness or disability, and intends to re-engage in that business on recovery, for a period of 26 weeks, or within a longer period that the council considers reasonable.

Benefits

The following types of benefit-related capital are ignored:

- a) Payments of arrears or compensation in respect of any specified benefit, discretionary housing payment, and tax credit, for a period of 52 weeks from the date of receipt of those arrears.
- b) Payments made under a local welfare provision (formerly part of the Social Fund) sometimes known as occasional assistance.
- c) Any payment of a Widowed Parent's Allowance made to the survivor of a cohabiting partnership following the death of their partner, who was entitled to Widowed Parent's Allowance before 9th February 2023, and in respect of the period ending the day before a claim for Widowed Parent's Allowance is made. The payment is ignored for a period of 52 weeks from the date of receipt or 1st April 2024, whichever is later.
- d) Any payment of a Bereavement Support Payment made for the first month of entitlement, for a period of 52 weeks from the date of receipt of the payment.
- e) Any payment of a Bereavement Support Payment made to the survivor of a cohabiting partnership, following the death of their partner, who was entitled to Bereaved Support payment before 9th February 2023 at the higher rate and the payment is for more than one month's entitlement. The payment is ignored for a period of 52 weeks from the date of receipt or 1st April 2024, whichever is later.
- f) Any payment to rectify or compensate for an official error relating to specified social security benefits, but where the payment is £5,000 or more, only as long as the payment is made on or after the date on which council tax reduction is awarded and only for the duration of that award.

Compensation

The following compensation payments are ignored:

- a) Payments made from the Macfarlane Trust, the Macfarlane (Special Payments) Trust, the Macfarlane (Special Payments) (No. 2) Trust, the Fund, the Eileen Trust, MFET Limited, the Skipton Fund, the Caxton Foundation, the Scottish Infected Blood Support Scheme, an approved blood scheme, the London Emergencies Trust, the We Love Manchester Emergency Fund, the

Windrush Compensation Scheme, the National Emergencies trust or the London Bombings Relief Charitable Fund; any Grenfell Tower support payment, a historical child abuse payment, a Windrush payment, the Victims of Overseas Terrorism Compensation Scheme, Post Office compensation payment, or a Vaccine Damage Payment.

- b) Any payment out of the estate of a person made under the Scottish Infected Blood Scheme or an approved blood scheme where the payment is made to the person's son, daughter, stepson, or stepdaughter.
- c) Any payment out of the estate of a person, which derives from a payment made under or by the Scottish Infected Blood Support Scheme or an approved blood scheme to the estate of the person as a result of that person having been infected from contaminated blood products.
- d) Any lump-sum payments made from the Armed Forces Compensation Scheme.
- e) Any payment made to the applicant or their partner as a result of personal injury but only for a period of 52 weeks.
- f) Compensation paid to children and young people for personal injury, or the death of a parent, while the capital is held by a court or administered by a responsible person.
- g) Any £10,000 ex gratia payment made as a result of imprisonment or internment by the Japanese during the Second World War.
- h) The value of certain trust funds derived from payments made as a result of personal injury.
- i) Certain trust payments made to the applicant or a member of their family to compensate those who suffer from or who have died from variant Creutzfeldt-Jakob disease.
- j) Payments made to people who were slaves or forced labourers, suffered property loss or personal injury, or who were parents of a child who died during the Second World War.
- k) Payments made to those with an annuity policy from the Equitable Life Assurance Company.

Other Types of Ignored Capital

- a) Personal possessions unless they have been bought to secure or increase entitlement to council tax reduction.
- b) Cash payments made by a local authority to help children in need.
- c) Payments made by a local authority to a person aged 18 or over who was formerly in the applicant's care and continues to live with the applicant and who gives the payments to the applicant.
- d) Payments made by a local authority under the Energy Rebate Scheme 2022
- e) Any other payments made by the Government to help with the cost of living.
- f) Any payment made in connection with the Homes for Ukraine scheme.

- g) Any payments in kind made by a charity, or made from the MacFarlane Trust, the Macfarlane (Special Payments) Trust, the Macfarlane (Special Payments) (No. 2) Trust, the Fund, the Eileen Trust, MFET Limited, the Skipton Fund, the Caxton Foundation, the Scottish Infected Blood Support Scheme, an approved blood scheme, the London Emergencies Trust, the We Love Manchester Emergency Fund, the Windrush Compensation Scheme, the National Emergencies trust or the London Bombings Relief Charitable Fund; any Grenfell Tower support payment, a historical child abuse payment, a Windrush payment, the Victims of Overseas Terrorism Compensation Scheme, Post Office compensation payment, or a Vaccine Damage Payment
- h) Any payment other than a training allowance made to assist disabled people to obtain or retain employment.
- i) Any payment made for travelling or other expenses relating to participation in a recognised work programme.
- j) Payments made to help people select, train for, obtain and retain employment under the Employment and Training Act 1973
- k) For 52 weeks, any payment to a self-employed person in order to establish or develop their business.
- l) Any payment made by a local authority to a blind homeworker under specified provisions.
- m) Any payment made to the applicant as holder of the Victoria or George Cross
- n) Payments akin to an education maintenance allowance
- o) For 52 weeks, any arrears of subsistence allowance
- p) For 52 weeks, payments made by a local authority intended to enable an applicant or their partner to live independently in their accommodation.
- q) Any direct payments for health care
- r) Certain payments made in respect of adoption, fostering and guardianship support; for 52 weeks, payments made in respect of certain NHS charges, hospital travel costs, payments in lieu of Healthy Start food vouchers, milk tokens, or the supply of vitamins, and for assisted prison visits.
- s) The surrender value of annuities or the right to receive income under them.
- t) The surrender value of any life insurance policy
- u) Where a payment of capital is made by instalments, the value of the right to receive outstanding instalments.
- v) For 26 weeks, sports awards unless intended for basic needs.
- w) The value of the right to receive any income payable abroad which cannot be transferred to the United Kingdom

- x) Any banking charges or commission to convert a payment of capital into sterling.
- y) The right to receive any income under a life interest or life rent.
- z) The value of any funeral plan contract
- aa) The value of the right to receive an occupational or personal pension; the value of the right to receive any rent except where the applicant has a reversionary interest in the property where rent is due

Annex 3 – Earnings from self-employment

Self-employed earnings are the gross income received from self-employment. The following are not treated as self-employed earnings:

- a) Payments made by the local authority to foster parents or certain kinship carers (treated as income other than earnings).
- b) Payments received from a boarder living in the applicant's accommodation.
- c) Sports awards.

Certain payments such as royalties, copyright, design, patent, trademark, and Public Lending Right Scheme payments are taken into account over a calculated period. Royalties are converted into a weekly amount and added to total weekly earnings.

The earnings to be taken into account are the net profit from the business after deducting allowance expenses and disregarded incomes. Where a self-employed applicant is a partner in a business (or a share fisherman), their earnings are calculated based on their share of the profit.

The following expenses are deducted from gross earnings to arrive at net profit:

- a) Expenses wholly and exclusively incurred for the purposes of the business including:
 - i. Repayments of capital on business loans used to replace equipment or machinery, or
 - ii. The repairs of existing business assets (after insurance payments).
- b) Appropriate Income Tax and National Insurance contributions.
- c) 100% of any period payments into a personal pension scheme.
- d) Net payments of VAT and interest on business loans.

The following items are not allowance expenses:

- a) Capital expenditure.
- b) Depreciation of any capital asset.
- c) Sums set aside for setting up or expanding the business.
- d) Losses incurred before the assessment period.
- e) Repayment of capital on business loans (except where allowed above).
- f) Business debts, except for certain irrecoverable debts.
- g) Expenses that the Council considers unreasonably incurred.

Special rules apply to childminders. For childminders, net profit is treated as one-third of gross earnings, minus:

- a) Income tax.
- b) National Insurance contributions.
- c) Payments into a personal pension scheme.

Where an applicant has more than one self-employed business, a loss from one business cannot be offset against the profits of another business.

Minimum Income Floor (MIF)

The Minimum Income Floor is an assumed level of earnings for self-employed applicants who report very low or no earnings and have been self-employed for at least 12 months.

For applicants receiving Universal Credit, the Minimum Income Floor is already built into the earnings figure provided by the DWP, which the council uses automatically.

For applicants not receiving Universal Credit, the MIF is calculated as follows:

- Net National Living Wage x number of hours worked (or a minimum of 35 hours per week, whichever is higher).

The Minimum Income Floor does not apply if the applicant meets any of the following conditions:

- a) The business is in the start-up period (first 12 months) and is considered *gainful self-employment*.
- b) The applicant has Limited Capability for Work (LCW) or Limited Capability for Work and Work-Related Activity (LCWRA).
- c) The applicant has caring responsibilities and receives Carer's Allowance or the Carer's Element of Universal Credit.
- d) The applicant is responsible for a child under 3 years old.

Annex 4 – Student Eligibility for Council Tax Reduction

(This annex does not apply to applicants receiving Universal Credit)

A working age student may qualify for Council Tax Reduction only if they:

- Are liable for council tax.,
- Meet all the other eligibility conditions, and
- Fall into one of the categories below:
 - a) A lone parent.
 - b) A student who has a full-time student partner one of whom has responsibility for a child or young person.
 - c) A student who is disabled and entitled Personal Independence Payment.
 - d) A single foster carer.
 - e) A student treated by the Department for Work and Pensions as incapable of work (or having limited capability for work) for at least 196 days consecutive days.
 - f) A student under 21 who is not in higher education.
 - g) A student under 20 and for whom Child Benefit is still payable.
 - h) A student receiving a Disabled Student's Allowance for deafness.
 - i) A student who has interrupted their course due to illness or caring responsibilities (with college/university approval) for the period between their interruption and their return, provided they receive no student finances during that time.
 - j) A student covered by medical evidence showing they have been unable to work due to illness or disability for at least 28 weeks.
 - k) A part-time student.

Calculation of grant income

Grant income is taken fully into account except for the following disregarded amounts:

- a) Tuition or examination fees.
- b) Payments relating to disability.
- c) Costs of residential study away from their normal place of study.
- d) Costs of maintaining a home away from their normal place of study.
- e) £390 for the cost of books and equipment, £303 for travel expenses, whether or not the costs are actually incurred. Only applies where the student does not have, or is treated as not having, a loan).
- f) Childcare costs for a dependent child.

- g) Higher education bursaries for care leavers.
- h) The Parent's Learning Allowance (dependant's grant).

Grant income is normally apportioned over the period of study for which it is paid. This usually means from the start of the course to the last day of the course. If the grant is paid for a different period, it is apportioned out over that period instead. For sandwich courses, periods of work experience are excluded.

If a student receives money, for example a gift, for costs listed above only the amount need for the intended purpose is ignored. Any excess is taken into account as income.

Example: if £400 is given for books, £390 would be ignored and £10 taken into account.

Calculation of student loans

Student loans, including postgraduate master's or doctoral loans, are treated as income. This applies even when a student has not taken out a loan but could have obtained one. In that case, the maximum available loan is treated as income or for postgraduate master's or doctoral loads, 30% of the maximum.

A fixed amount of £390 towards the cost of books and equipment, and £303 towards the cost of travel is deducted from the weekly loan income, regardless of whether they are actually spent. Loans taken out by a student to pay tuition fees are ignored entirely. Special support loans for books, equipment, travel or childcare incurred for the purpose of attending a designated course, are also ignored.

Loan income is calculated by dividing the amount of the loan, less any amount that is ignored, by the number of weeks in the period of study for which it is paid. This means:

- a) Where the course is of a single academic year's duration or less, from the first day of the single academic year, or the first day of the course, and ending with the last day of the course.
- b) Where the academic year of the course starts other than on 1st September, from the first day of that academic year, ending with the last day of that academic year, but excluding weeks falling entirely within the long vacation.
- c) In respect of the final academic year of a course which is not of a single year's duration, from the beginning of either:
 - i. the first day of that academic year, or
 - ii. where the final academic year starts on 1st September, the earlier of 1st September or the first day of the autumn term and ending with the last day of the course.
- d) In any other case, from the first week in September or the first day of the autumn term and ending with the last day of June.

Other issues

Any discretionary access funds paid periodically by a college or university are ignored unless intended for and used for specified basic needs, in which case the funds are fully taken into account. In particular, access funds are ignored as income where they are paid after 1 September or after the first day of the course in anticipation of a student receiving a student loan or are paid before the first day of the course in anticipation of the applicant becoming a student.

Where access funds are paid by way of a lump sum, the lump sum is treated as capital. However, where the lump sum is used for items other than specified basic needs it is ignored for a period of 52 weeks from the date of payment.

Where a student's partner has been assessed for a contribution to his grant or loan, that contribution is taken into account as income, but an equal amount of the partner's income is ignored.

For the purposes of this scheme, the following definitions apply:

Academic year – the 12 month period beginning on 1 January (winter start), 1 April (spring start), 1 July (summer start), 1 September (autumn start). If attendance begins in August/September and runs into autumn, the year starts in autumn, not summer.

Course of study - any course, sandwich course, whether or not a grant-funded.

Full-time student - A person attending or undertaking a full-time course, including sandwich courses.

A funded course is normally full-time if it includes over 16 hours of guided learning per week.

For unfunded courses, full-time status depends on the overall nature of the course.

Grant - Any award (scholarship, bursary, studentship, etc) except access funds or Education Maintenance Allowance.

Period of study - this is defined as follows:

Period of Study

a) Courses of one year or less:

- Start of course to last day.

b) Courses longer than one year (non-final years):

- Year start to the day before the next year or summer vacation.

c) Final year of courses over one year:

- From the start of the academic year to the last day of the course

Qualifying course - as defined for the purposes of parts 2 and 4 of the Jobseeker's Allowance Regulations 1996. The course must be employment-related which helps a person to acquire or enhance skills for

employment, for seeking employment, or for a particular occupation. It must last for no more than 12 consecutive months, and it must be a course at an appropriate level.

Sandwich course – Alternating periods of full-time study and work experience, with at least 18 weeks of study each year.

Student - A person attending or undertaking a course of study or a qualifying course.

Student loan – A loan for maintenance (living costs).

Glossary of terms

Applicant: A person who has made an application to the Council for council tax reduction.

Application: An application for council tax reduction.

Approved blood scheme: A scheme established or approved by the government, or a trust set up with funds provided by the government, to provide compensation for someone infected by contaminated blood products.

Armed Forces Independence Payment: A payment made in accordance with an armed and reserve forces compensation scheme.

Benefit cap: A limit to the total amount of some benefits that most working-age people can receive. There are various levels of cap for London and the rest of the country.

Boarder: A person who resides with the applicant and who makes payments to the applicant or their partner, on a commercial basis, in return for accommodation and some meals. A boarder is not a non-dependant.

Carer's Allowance: A benefit for someone caring for another person for at least 35 hours a week. It is paid regardless of income and savings but can be taxable.

Caxton Foundation: A charitable trust funded by the government primarily to help someone suffering from hepatitis C.

Child: A person under the age of 16.

Child Benefit: A non means-tested benefit (below income of £60k) to help with the cost of children. It is usually paid monthly to a person who is responsible for a child either aged under 16 or aged 16 to 20 and in full-time education or training.

Close relative: A parent, parent-in-law, son, son-in-law, daughter, daughter-in-law, stepparent, stepson, stepdaughter, brother, sister. Where any of these close relatives is one member of a couple, the definition includes the other member of that couple.

Concessionary payment: A payment made in certain circumstances to compensate a person for the non-payment of a benefit or a tax credit.

Durham County Council: as the billing authority.

Council Tax Reduction Scheme: A scheme designed to help people in financial need pay their council tax.

Couple: Two people living in the same household who are married to, or civil partners of, each other, or are living together as though they were married or civil partners.

Disability Living Allowance: A non-means-tested, non-taxable benefit paid to people who need supervision or help with their daily or nightly care, or who have mobility problems. It has now been replaced for most people by Personal Independence Payment but is still paid for children.

Earnings: Any remuneration or profit derived from employment.

Eileen Trust: A charitable trust funded by the government to pay grants to non-haemophiliac people infected with HIV through treatment with NHS blood or blood products.

Employed earner: A person who is gainfully employed under a contract of service.

Employment and Support Allowance: A benefit paid to working-aged people who have an illness, health condition or a disability which makes it difficult or impossible to work. Contribution-based Employment and Support Allowance is not means-tested but based on National Insurance contributions. Income-related Employment and Support Allowance is means-tested but has been replaced by Universal Credit.

Estrangement: A breakdown of a relationship between 2 persons.

Extended reduction: A set amount of council tax reduction awarded for a specified period, usually 4 weeks.

Family: A couple, or a couple where one or both have responsibility for a child or young person living in the same household, or a lone parent who has responsibility for a child or young person living in the same household.

Financial or tax year: The period beginning 6th April in one year to 5th April in the following year.

Grenfell Tower support payment: A payment made for the purpose of providing compensation or support in respect of the fire on 14th June 2017 at Grenfell Tower.

Historical child abuse payment: A payment made under various compensation schemes and redress programmes to acknowledge the harm caused by child abuse and provide support to survivors.

Household: Not defined as such but is given its every-day meaning, taking account of factors such as the overall relationship between the parties, living arrangements and the degree to which facilities are shared. Children and young people are treated as part of the household even when temporarily absent but are not part of the household in certain specific circumstances, such as when they are living in care or formally placed with the applicant.

Housing Benefit: An income-related (means-tested) benefit paid to tenants on low incomes (either in or out of work) to help pay their rent. The scheme is administered by local authorities in accordance with national legislation.

Jobseeker's Allowance: A benefit paid to working-aged people who are not working (or working less than 16 hours a week) and who are available for and actively seeking full-time work. Contribution-based Jobseeker's Allowance is not means-tested but depends on National Insurance contributions.

Joint occupier: A person who is either the co-owner (with the applicant or their partner) of the residence or liable (with the applicant or their partner) to pay council tax. A joint occupier has a legal right to occupy the property. A joint occupier is not a non-dependant.

Local authority: An authority responsible for issuing council tax bills and providing a scheme for council tax reduction.

London Bombings Relief Charitable Fund: The company and registered charity set up to help victims (and their families or dependants) of the terrorist attacks in London on 7th July 2005.

London Emergencies Trust: A company and registered charity set up to distribute public donations to those affected by a major emergency such as terrorist attacks or other civil disasters in London.

Lone parent: A person who has no partner and who is responsible for a child or young person living in the same household.

Macfarlane Trust: A charitable trust established to help relieve poverty or distress among those suffering from haemophilia.

Maternity leave: A period during which a woman is absent from work because she is pregnant or has given birth to a child, and after which she has the right to return to work.

Medically approved: Certified by a medical practitioner who is a: consultant general practitioner hospice doctor senior specialist nurse (such as a clinical nurse specialist, advanced nurse practitioner) specialty doctor.

MFET Ltd: A company set up to make payments, under arrangements made by the government, to those who have HIV as a result of treatment by the NHS with blood or blood products.

Minimum Income Floor: The Minimum Income Floor is an assumed level of earned income for self-employed people who report very low or no earnings. The assumed level of earned income is calculated using the net National Minimum Wage multiplied by either the number of hours worked (as declared by the applicant to either the Council or a central government department) or the number of hours they are working.

National Emergencies Trust: A registered charity set up to distribute public donations to those affected by a major national emergency or disaster.

National Minimum Wage: The minimum amount that legally must be paid to an employed earner.

National Insurance: A form of taxation on earnings and self-employed profits paid into a fund from which some social security benefits are paid. The Department for Work and Pensions issues National Insurance numbers which are unique to each person and are required when applying for council tax reduction.

Net earnings: The amount of earnings after specified deductions such as income tax and National Insurance contributions.

Net profit: The amount treated as self-employed earnings which is the applicant's total profit less specified deductions such as allowable expenses.

Non-dependant: A person living as a member of the applicant's household who is not their partner, or a child or young person for whom they are responsible, with certain exceptions such as joint-occupiers, boarders, and paid carers.

Non-dependant deduction: A set amount deducted from an applicant's council tax reduction as a contribution made by a non-dependant towards household expenditure.

Occupational pension: Any pension or other periodical payment made under an occupational pension scheme.

Official computer system: A computer system maintained by or on behalf of a local authority for sending, receiving, processing, or storing of any information.

Paid carer: A person who lives with the applicant in order to care for them or their partner, who is employed by a charity or voluntary organisation, and where a charge is made for their services. A paid carer is not a non-dependant.

Partner: The person who is the other member of a couple.

Paternity leave: A period of leave during which a father or partner is absent from work in order to care for their new-born or newly adopted child, after which they have the right to return to work.

Personal Independence Payment: A replacement benefit for Disability Living Allowance designed to provide help to people over 16 who need care or who have mobility needs. It is not means-tested or taxable.

Personal pension scheme: A pension that a person arranges individually which is based on how much is paid into the scheme and how successful the pension provider's investments are.

Polygamous marriage: Any marriage where one party is married to more than one person, and the ceremony of marriage took place under the law of a country which permits polygamy.

Post Office compensation payment: A payment made by the Post Office or the government for the purpose of providing compensation or support either in connection with the failings of the Horizon system or following the judgment in *Bates and Others v Post Office Ltd (No 3) "Common Issues"*.

Public authority: A body or organisation which has a public function, for example the NHS and local authorities.

Relative: A close relative (as defined above) as well as a grandparent, grandchild, uncle, aunt, nephew, or niece.

Remunerative work: Where a person is working for at least 16 hours a week (which may be an average) for which payment is made, or which is done in expectation of payment.

Resident: An applicant is resident in a dwelling if they occupy it as their sole or main home.

Residence rules: Qualifying conditions whereby an applicant must establish that they have the right to live in the UK and intend to settle in the UK, Isle of Man, Channel Islands, or Ireland and make it their home.

Revision: A previous decision is changed (revised) from the same date it originally took effect from. It allows for a review of the original decision, which may lead to changes based on latest information or errors.

Scottish Infected Blood Support Scheme: A scheme that provides support to people in Scotland who were historically infected with hepatitis C and/or HIV following treatment with NHS blood or blood products.

Self-employed earner: A person who is gainfully employed in Great Britain otherwise than in employed-earners employment.

Service user: A person who is consulted by, or on behalf of, certain public bodies.

Skipton Fund: A scheme set up to make payments to people suffering from hepatitis C.

Sports award: An award made by certain specific sports councils from funds derived from the National Lottery.

SR1: An SR1 form is a medical report completed by a health professional to support claims for UK benefits under the Special Rules for people with a terminal illness.

Student: A person who is attending or undertaking a course of study at an educational establishment or on a qualifying course.

Supersession: A previous decision is changed from a later date. It is a way to address changes in circumstances or errors in the original decision.

Support or reduction week: A period of 7 days commencing on a Monday and ending on a Sunday.

Temporary absence: A period not exceeding a specified number of weeks where a person is temporarily absent from their home and intending to return to that home and has not sub-let that part of the home they normally occupy.

Terminally ill: A person is defined as "terminally ill" for benefit purposes if they have been diagnosed with a progressive disease and as a consequence of that disease, they are expected to die within 12 months (confirmed by the SR1).

The Trusts: The Macfarlane Trust, the Macfarlane (Special Payments Trust), and the Macfarlane (Special Payments) (No.2) Trust.

Universal Credit: An income-related (means-tested) benefit for people of working-age who are on a low income. It replaces four existing means-tested benefits, including Housing Benefit, and two tax credits.

Vaccine Damage Payment: A payment made if you are severely disabled as a result of a vaccination against certain diseases.

Victims of Overseas Terrorism Compensation Scheme: A government funded scheme designed to compensate victims who sustain a relevant injury which is directly attributable to their being a direct victim of a designated act of terrorism overseas.

Voluntary organisation: A body other than a public or local authority whose activities are carried out on a not-for-profit basis.

War Disablement Pension: A payment paid to people who have been injured or disabled as a result of any service in His Majesty's Armed Forces. The amount paid depends on the severity of the disablement.

War Widow's Pension: A pension payable to the widow, widower or in some circumstances the children of someone killed in the Armed Forces or who died later because of injury in the Armed Forces.

We Love Manchester Emergency Fund: A charity set up to co-ordinate, administer and distribute the monies donated in response to the Manchester Arena attack on 22 May 2017.

Windrush Compensation Scheme: A scheme set up by the government to compensate people who have suffered loss because they are unable to demonstrate their lawful status in the UK.

Working-age applicant: A person who has not reached the qualifying age for State Pension Credit or who has reached that age but is receiving (or where there is a partner the partner is receiving) a working-age income-related benefit.

Young person: A person who is a qualifying young person for Child Benefit purposes. The young person must be 16 or over and under 20 and on a course of full-time, non-advanced education or in approved training, or in appropriate fulltime education.